

23CMCV00774 23CMCV00774

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Case Number: 23CMCV00774 Hearing Date: August 4, 2026 Dept: A

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES – SOUTH CENTRAL DISTRICT

LOS ANGELES UNIFIED SCHOOL DISTRICT,

Plaintiff,

vs.

WATTS
LEARNING CENTER FOUNDATION, et al.,

Defendants.

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CASE NO: 23CMCV00774

ORDER

RE: DEFENDANT ASCIP'S MOTION FOR SUMMARY JUDGMENT

Dept.

A

DATE:

August 4, 2026

TIME:

8:30 A.M.

COMPLAINT

FILED: 05/26/2023

1st

AMENDED COMPLAINT FILED: 11/13/2023

TRIAL:

05/19/2027

MOVING PARTY: Defendant

Alliance of Schools for Cooperative Insurance Programs

RESPONDING PARTY: Plaintiff

Los Angeles Unified School District

1. Background

This is an action for breach of contract. Plaintiff Los Angeles Unified School District ("District") alleges that defendant Watts Learning Center Foundation ("Watts") entered into an agreement with District with respect to Watts' operation as an independent charter school within District. District alleges that this agreement included an indemnity provision that obligated Watts to indemnify, defend, and hold harmless District from liability for claims, damages, losses and expenses arising from or relating to acts or omissions of Watts and/or its officers or employees. District alleges that Watts obtained liability insurance from defendant Alliance of Schools for Cooperative Insurance Programs ("ASCIP"). District alleges that Watts and ASCIP refused to indemnify and defend District from a claim arising from the acts or omissions of Watts and/or its officers or employees, thereby breaching the agreement between District and Watts.

2. Evidentiary Objections

District objects to some of ASCIP's evidence as irrelevant and therefore inadmissible. The court finds that these objections are not material to its determination on this motion and declines to rule upon them.

3. Discussion

ASCIP moves for summary judgment against District on District's causes of action against ASCIP. ASCIP contends that undisputed facts at the time of tender demonstrated that there was no possibility of Watts' sole negligence, and therefore that ASCIP did not owe District a duty to defend. In opposition, District contends that the evidence at the time of tender demonstrated that there was a potential for Watts' sole negligence and therefore a potential for coverage that

established a duty to defend.

“Code of Civil Procedure

section 437c, subdivision (c), requires the trial judge to grant summary judgment if all the evidence submitted, and ‘all inferences reasonably deducible from the evidence’ and uncontradicted by other inferences or evidence, show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law.” (Adler v. Manor Healthcare Corp.

(1992) 7 Cal.App.4th 1110, 1119 (Adler).)

“On a motion for summary

judgment, the initial burden is always on the moving party to make a prima facie showing that there are no triable issues of material fact.” (Scaif v. D.B. Log Homes, Inc. (2005) 128 Cal.App.4th 1510, 1519.) A defendant or cross-defendant moving for

summary judgment or summary adjudication “has met his or her burden of showing that a cause of action has no merit if the party has shown that one or more elements of the cause of action . . . cannot be established, or that there is a complete defense to the cause of action.” (Code Civ. Proc., § 437c, subd. (p)(2).) A plaintiff or cross-complainant moving for summary judgment or summary adjudication “has met that party’s burden of showing that there is no defense to a cause of action if that party has proved each element of the cause of action entitling the party to judgment on the cause of action.” (Id., subd. (p)(1).)

“Once the [moving party]

has met that burden, the burden shifts to the [nonmoving party] to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto.” (Code Civ. Proc., § 437c, subd. (p)(2).) “If the [nonmoving party] cannot do so, summary judgment should be granted.” (Avivi v. Centro Medico Urgente Medical Center (2008) 159 Cal.App.4th 463, 467.) “When deciding whether to grant summary judgment, the court must consider all of the evidence set forth in the papers (except evidence to which the court has sustained an objection), as well as all reasonable inferences that may be drawn from that evidence, in the light most favorable to the party opposing summary judgment.” (Id. at p. 467; Code Civ. Proc., § 437c, subd. (c).)

To establish a triable issue of material fact,

the party opposing the motion must produce substantial responsive evidence. (Sangster v. Paetkau (1998) 68 Cal.App.4th 151, 166.) A triable

issue of material fact exists only if the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion. (Falcon v. Long Beach Genetics, Inc. (2014) 224 Cal.App.4th 1263, 1271.)

The duty to

defend arises when defense is tendered and known facts point to a potential for coverage. (Valentine v. Membrila Ins. Services, Inc. (2004) 118 Cal.App.4th 462, 473.) "A potential for coverage would exist if, based on the allegations of [the] complaint, together with any other information available to [the requesting party], there was a possibility of coverage under the policy's insuring language which was not excluded by any express provision within the policy." (B & E Convalescent Center v. State Compensation Ins. Fund (1992) 8 Cal.App.4th 78, 92.) The duty to defend lasts until the underlying lawsuit is concluded or until it has been shown that there is no potential for coverage, and whether it arises in the first place does not depend on the outcome of the litigation. (Crawford v. Weather Shield Mfg., Inc. (2008) 44 Cal.4th 541, 547, 558 (Crawford).)

ASCIP contends

that Watts obtained liability insurance from ASCIP, including an additional covered party endorsement that extended that liability insurance to District in certain circumstances. The additional covered party endorsement states:

"The coverage provided to the Covered Party is hereby extended by this endorsement to the Additional Covered Party named above in accordance with the provisions contained in the Memorandum of Coverage (MOC). The coverage extended hereby applies only with respect to liability arising out of activities in the Description of Operations, Vehicle, or Property noted above. It is intended by ASCIP in issuing this endorsement to defend and/or indemnify the Additional Covered Party only if [Watts] is solely negligent. In issuing this endorsement, ASCIP intends and agrees to extend coverage pursuant to the terms and conditions of the MOC to the Additional Covered Party named above only to the extent that the Additional Covered Party faces liability arising out of claims, demands, or lawsuits claiming money damages on account of bodily injury or property damage as defined and limited in the ASCIP MOC."

(Mot. Ex. C.)

ASCIP contends

that, at the time of tender, extrinsic evidence demonstrated that there was no

possibility of coverage and therefore no duty to defend. In support of this contention, ASCIP provides an email between ASCIP and District in which ASCIP's counsel describes a telephone call that he had with counsel for the plaintiff in the underlying case, M.R.. ASCIP's counsel states that M.R.'s counsel stated that M.R. was alleging only an independent basis for liability against District, and therefore there was no potential for Watts' sole negligence. (Mot., Ex. H.)

As the moving party, it is ASCIP's burden to establish that there was no potential for coverage at the time of tender and that therefore there was no duty to defend.

Extrinsic evidence can establish that there is no potential for coverage. (Montrose Chemical Corp. v. Superior Court (1993) 6 Cal.4th 287, 298-299 (Montrose).) However, the extrinsic evidence contemplated in Montrose is a set of undisputed facts developed during investigation that conclusively show that the ultimate question of coverage can be determined, and that there is no possibility of coverage. (Ibid.) The court in Montrose expressly stated that "the third party plaintiff cannot be the arbiter of coverage." (Id. at p. 296.)

Here, ASCIP's purported evidence demonstrating that there is no possibility of coverage constitutes a communication from M.R. concerning the facts that M.R. is alleging in his complaint. To credit this communication as conclusively establishing the lack of possibility of coverage is the very definition of permitting the third party plaintiff to be the arbiter of coverage. A potential for coverage may arise irrespective of the facts alleged on the face of the complaint (Ibid.); correspondingly, a potential for coverage may also arise irrespective of the facts alleged by the plaintiff in private communication. The telephone call between M.R.'s counsel and ASCIP's counsel therefore did not conclusively establish that there was no potential for coverage at the time of tender, as was required to establish that there was no duty to defend in the underlying action.

This is particularly the case in light of the allegations in the government claim submitted by M.R., which alleged liability arising solely from Watts' employees' negligence. (Mot., Ex. D.) Although, as previously noted, the plaintiff is not the arbiter of coverage, where the M.R.'s statements

alternately indicate Watts' sole liability or shared liability with District, those statements do not clearly indicate that there was no potential for coverage.

Accordingly,

ASCIP has failed to carry its burden to establish that there are no triable issues of material fact and that it is entitled to judgment as a matter of law.

The court will therefore deny ASCIP's motion for summary judgment.

4. Conclusion

Based on the

foregoing, the court DENIES Defendant Alliance of Schools for Cooperative Insurance Programs' motion for summary judgment.

ASCIP is ordered to give notice.

IT IS SO ORDERED.

DATED: August 4, 2026

Hon. Elizabeth L. Bradley

Judge of the Superior Court